

## **Inflation**

Inflation has an enormous effect in the economy. Within the country it erodes purchasing power. As a consequence, demand falls. If the rate of inflation in the country from which a company imports is high then the cost of production in that country will automatically go up. This might reduce the cost competitiveness of the product finally manufactured. Conversely, if the rate of inflation in the country to which one exports is high, the products become more attractive resulting in increased sales.

The USA and Europe have fairly low inflation rates (about 5%). In India, inflation has been falling steadily in recent times. It is currently estimated at between 2.5% and 3%. In South America, at one time, it was over 1000%. Money there had no real value. Ironically, South American exports become attractive on account of galloping inflation and the consequent devaluation of their currency which makes their products cheaper in the international markets.

Low inflation within a country indicates stability and domestic companies and industries prosper at such times.